



Rating
Buy

Asia
China

Technology
Software & Services

Company
GDS Holdings Ltd

Reuters
GDS.OO

Bloomberg
GDS US

Exchange
NSM

Ticker
GDS

Date
21 May 2026

Forecast Change

Price at 20 May 2026 (USD)	36.66
Price target - 12mth (USD)	50.00
52-week range (USD)	47.52 - 23.69
HANG SENG INDEX	25,651

Running with the bulls

Demand roaring back - GDS following it

1Q results were satisfactory, but the news was the company is joining the front of the AI build out stampede. The dominant theme in the 1Q26 call was capturing the "multi-year growth story" of AI. Management stated customers are planning gigawatt-scale deployments in single clusters, a significant increase in demand, with customers now planning future deployments on an "unprecedented scale", largely supported by the increasing availability of domestic AI chips.

To meet this demand, GDS has outlined a three-year business plan to invest CNY30bn to CNY50bn. The lower-end is not a surprise, given the market state and this year's CNY9bn guidance. But given the management tone we expect the it to come in at the mid-to-high end, so approximately double our 2027 and 2028 capex estimates.

Management says this will result in net debt/EBITDA rising to 5-6x, and our estimates suggest 5.1x peak in both 2027 and 2028 on an approximate CNY40bn investment program. If CNY50bn was spent that would suggest a 6.5x peak gearing multiple (which may indicate our adjusted EBITDA estimate is conservative). While not a massive gearing increase, this does represent a sharp pivot away from the degearing narrative that defined 2025. While this will shake out some investors, we expect the market to slowly warm to this change. Risk has become more elevated however, leaving the stock vulnerable to bad news - especially given the firm's inability to generate underlying net profits across its long life. We considered lifting our Beta estimate, but think 1.2x still feels about right for a highly geared infrastructure company.

Currently, the markets seems fairly early in the approximately USD3tn AI infrastructure build out that hyperscalers are planning globally through 2030, and China will be an important part of global AI server growth.

We see this as Phase III of the company's build out, with Phase I being its initial China push, and Day One being Phase II. This phase has a reasonable tailwind, but GDS is pushing into a part of the market dominated by heavyweights, including SOE competitors that are not known for ROIC maximization. But overall we expect the excess demand for AI infrastructure to create adequate returns. Additionally, the firm has the ability to recycle developments into its REIT.

Valuation & Risks

Peter Milliken, CFA
Research Analyst
+852-2203 6190

Key changes

TP	48.00 to 50.00	↑	4.2%
Op prof margin (FYE)	14.4 to 14.3	↓	-0.7%
Net profit (FYE)	3,500.8 to 3,615.3	↑	3.3%

Source: Deutsche Bank

Price/price relative



Performance (%)	1m	3m	12m
Absolute	-18.4	-18.7	32.9
HANG SENG INDEX	-2.7	-2.9	8.3

Source: Deutsche Bank

Key indicators (FY1)

ROE (%)	13.1
Net debt/equity (%)	77.2
Book value/share (CNY)	154.67
Price/book (x)	1.6
Net interest cover (x)	1.2
Operating profit margin (%)	14.3

Source: Deutsche Bank

Deutsche Bank AG/Hong Kong

IMPORTANT RESEARCH DISCLOSURES AND ANALYST CERTIFICATIONS LOCATED IN APPENDIX 1. Deutsche Bank does and seeks to do business with companies covered in its research reports. Thus, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision.



The scale of demand and its build out has led GDS to target 500 to 800 megawatts of new bookings annually, which is substantial relative to 1.9GW of capacity at quarter end. Year-to-date, the company has already secured over 340MW, indicating strong momentum towards its full-year 2026 target of at least 500MW. This compares to 300MW in 2025, which in turn was triple the recent annual run rate.

Results key points

Excluding one-offs, revenue for the quarter was up 8% YoY as was adjusted EBITDA (to CNY1,366m). Adjusting for the two China spin-offs; on a pro-forma basis revenue and adjusted EBITDA would have risen 12%. GDS reported a 1Q26 net profit of CNY2,624m, vs a CNY750m gain in 1Q25, with the positive results due to the gain from its Day One sell down.

The company lifted area utilized by 16k square meters QoQ, in line with recent quarters, and expects similar take up next quarter, before accelerating later in the year to get to 70k for the year, and then an expectation to approximately double that in 2027. Utilized area was up 13% YoY, even with the asset monetizations taking out 20k sq. m. Because of this, utilization remained stable at 75%.

DayOne value takes off

While the ongoing China upturn is good news, a major story in the last three months has been the value ramp-up at DayOne. IDC capacity in the region is tight, with mid-90% utilization in key Asian markets, and Middle East markets taking a reputation hit due to the Iran conflict. GDS's international business, DayOne, is widely reported to be seeking to raise USD4bn-USD5bn, while targeting a valuation near USD20bn, and its January sale was 6.5x its investment cost.

Figure 1: Funding rounds at DayOne - existing and potential

Date	Round	Capital raised (US\$bn)	Equity value (US\$bn)		GDS stake	
			Pre-money	Post-money	US\$bn	%
2026*	IPO	5	15	20	3.6	17.9%
1/13/2026	Repurchase of US\$385m shares at Series C price				2.2	23.9%
1/5/2026	Series C	2.0	7.4	9.4	2.6	28.0%
12/31/2024	Series B	1.2	2.5	3.7	1.3	35.6%
Early 2024	Series A	0.7	0.8	1.5	0.7	52.7%

* Estimated based on public information

Source : Company release, Deutsche Bank estimates, Bloomberg Finance LP

Guidance and valuation

The company maintains guidance of revenue rising 8.5%-12.8% (CNY12,400-12,900), adjusted EBITDA rising 6.4%-11.0% (CNY5,750-6,000), and capex stepping up to CNY9.0bn. We think current prices for GDS have become more attractive, given the post results sell-off, and clearly strong demand, and we lift our DCF based target from USD48 to USD50 and retain our BUY rating (see page 4 for Valuation & Risk details).

Forecasts and ratios

Year End Dec 31	2024A	2025A	2026E	2027E	2028E
Sales (CNYm)	10,322.1	11,432.3	12,711.5	14,797.0	18,891.8
EBITDA (CNYm)	4,395.0	4,964.8	5,471.5	6,292.4	7,835.6
Reported NPAT (CNYm)	-831.4	895.3	3,615.3	601.2	788.0
OLD DB EPS FD(CNY)	-4.51	-7.14	-6.17	1.32	6.54



% Change	-0.0%	-0.0%	-9.0%	-154.1%	-97.2%
DB EPS growth (%)	79.7	-58.5	21.4	87.3	–
Yield (net) (%)	0.0	0.0	0.0	0.0	0.0

Source: Deutsche Bank estimates, company data



Quarterly financials

Figure 2: Results summary

Income Statement (CNY m)		1Q25	2Q25	3Q25	4Q25	1Q26	YoY	QoQ	Comment
Total revenue		2,723	2,900	2,887	2,922	3,367	23.6%	15.2%	Up 8% ex one-offs
Cost of sales		(1,222)	(1,355)	(1,387)	(1,424)	(1,404)	14.9%	-1.4%	
Selling and marketing		(33)	(34)	(40)	(42)	(37)	11.6%	-13.8%	
General and admin		(239)	(232)	(228)	(199)	(177)	-25.7%	-10.9%	
Research and development		(8)	(9)	(8)	(8)	(10)	21.2%	23.7%	
EBITDA		1,222	1,271	1,223	1,248	1,740	42.4%	39.3%	Up 8% ex one-offs
Adj EBITDA		1,324	1,372	1,342	1,366	1,949	47.2%	42.7%	
Adj gross profit		1,455	1,510	1,473	1,478	1,952	34.1%	32.1%	
Deprn & Amort		(857)	(857)	(861)	(885)	(832)	-2.9%	-6.0%	
Operating profit		365	415	362	363	908	148.6%	149.9%	
Others inc. asset sales		1,068	11	1,385	(1,621)	96	-91.0%	-105.9%	
EBIT		1,433	425	1,747	(1,257)	1,004	-29.9%	-179.9%	
EBIT margin		52.6%	14.7%	60.5%	-43.0%	29.8%			
Finance costs		(441)	(405)	(375)	(413)	(380)	-14.0%	-8.0%	
Associates		(28)	(26)	(461)	1,231	2,137			DayOne disposal gains
Taxation		(200)	(65)	(182)	(23)	(109)	-45.6%	366.9%	
Minority interest, preferred div		(15)	(15)	(16)	(18)	(28)	92.7%	56.5%	
Net Profit Attributable		750	(86)	712	(481)	2,624	250.1%	-646.0%	
Revenue		2,723	2,900	2,887	2,922	3,367	23.6%	15.2%	
Adjusted EBITDA		1,324	1,372	1,342	1,366	1,949	47.2%	42.7%	
Area under construction/acq.	sqm	132,208	132,235	72,764	73,994	118,411	-10.4%	60.0%	
Area in service	sqm	610,685	618,060	653,762	668,283	674,269	10.4%	0.9%	
Total capacity	sqm	742,893	750,295	726,526	742,277	792,680	6.7%	6.8%	
Total area committed	sqm	649,561	663,959	656,728	670,106	725,485	11.7%	8.3%	
Area utilized (EoP)	sqm	462,423	479,186	486,607	504,843	520,929	12.7%	3.2%	
Utilization	%	75.7%	77.5%	74.4%	75.5%	77.3%	1.5%	1.7%	
New area utilized	sqm	9,329	16,763	7,421	18,236	16,086	72.4%	-11.8%	
MSR (monthly service revenue)	Rmb/sqm	1,983	2,052	1,992	1,964	2,188	10.4%	11.4%	

Source : Deutsche Bank, company data

The China build out - and how to fund it

The acceleration in build out was evident in 4Q when the company announced plans to enter Inner Mongolia, Ningxia, and Shaoguan (in Northern Guangdong), each among the eight national computing hub nodes in China's "Eastern Data, Western Computing" policy. The policy focuses on moving hyperscaler activity to the West, while connecting the hubs with high-speed, high-capacity trunk capacity. The telcos built a lot of capacity in these more distant hubs, which made it difficult to profit, but demand is coming through, so GDS is ready to compete outside of its initial focus of in-and-around Tier 1 cities. The ramp-up already seems to be lined up, with GDS noting it has 3.7GW equivalent of land and power reservations.

Management noted that agreements getting signed commit to a certain capacity, which the company records as "bookings" while the rest of the site is reserved for the customer's subsequent growth, with follow-up orders over the next one-to-two years "almost certain". Over the last year the company has generated 1GW of bookings plus reservations, which given bookings over the last year would approximately suggest a 1:1 booking to reservation ratio. The company's 600MW of bookings (200,000 sq m) will mainly become billable in the next six to eight quarters.

Management noted a build out cost of around CNY20m per MW, and for that to drive around 10-11% adjusted gross profit yield (revenue less cash opex/ gross PP&E). We would assume the targeted utilization would be around 90% - but this



was not stated. This compares to its current portfolio generating 11% at 75% utilization. The company provided such details, as MSR comes down along with development costs as more remote/larger scale sites are built out. It was also noted that price per GW to build out has dropped around 15% in the last three years due to lower cost for mechanical & electrical plant.

The company plans to fund its build out using 60% debt funding. So at the CNY40bn mid-point of capex, that would mean CNY24bn of debt. It looks to fund the remaining CNY16bn of equity using a mix of CFO (last year CNY3bn), and asset monetizations.

The build-out is simplified following the company's raising of CNY3.5bn in 2025 from its China monetizations, and in the process creating a self-funding mechanism through its C-REIT. That REIT has been trading on a 3-4% dividend yield, yet the company can generate an IRR of low- to mid-teens pre-gearing, or in the 20s post gearing, making for a lucrative asset-development arbitrage - at least while the demand-supply situation is favourable - as it is now. The company aims to offload CNY4-6bn of assets in 2026, and received CNY2.7bn from a Day One sell-down in 1Q.



Valuation and earnings forecast changes

We cut our 2027 estimates sharply to reflect build out costs.

Figure 3: Earnings forecast changes

Annual	Reported			DB Estimates		DB prior est.		Variance		YoY change			DB vs. cons	
Key Revenue Metric	FY23	FY24	FY25	FY26E	FY27E	FY26E	FY27E	FY26E	FY27E	FY25	FY26E	FY27E	FY26E	FY27E
Operating Revenue	9,957	10,322	11,432	12,711	14,797	12,711	15,101	0%	-2%	11%	11%	16%	0%	2%
Cost and profitability														
Cost	5,882	5,927	6,467	7,240	8,505	7,227	8,457	0%	1%	9%	12%	17%		
EBITDA	4,074	4,395	4,965	5,471	6,292	5,484	6,644	0%	-5%	13%	10%	15%	-7%	-5%
EBITDA margin	40.9%	42.6%	43.4%	43.0%	42.5%	43.1%	44.0%	-0.2%	-3.3%	2%	-1%	-1%		
EBIT	555	1,152	1,505	1,813	1,666	1,826	2,340	-1%	-29%	31%	20%	-8%	-1%	-16%
Net Profit	(4,344)	3,371	895	3,615	601	3,501	1,025	3%	-41%	-73%	304%	-83%	21%	-67%

Source : DB estimates, Bloomberg Finance LP consensus, company releases

Key downside risks include: 1) Interest rates rising, lifting earnings pressure; 2) Over-investment tendencies returning; 3) Spot pricing declining; and 4) Bloomberg reported just before 2Q25 quarter's results that ST Telemedia is considering selling its 30% stake, and cut that to 27% in mid-September via a block trade. It is locked up for six months, and could find a buyer for the rest, but this is complicated by the firm's VIE structure and dual-class voting shares.

Figure 4: DCF estimates

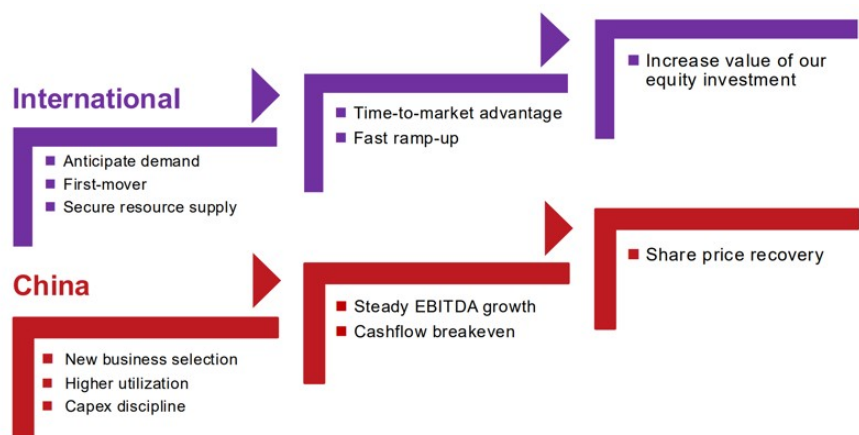
DCF	2025	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Risk free rate		2.0%		Terminal growth estimate							
Beta		1.20		inflation estimate			0.50%	RFR less term premium			
Mkt risk premium		6.0%		Discount for over-earning			0.0%	ROE-WACC partial convergence formula			
Cost of equity		9.2%		Productivity fade			-1.5%	Productivity-like return decay as IDCs age			
Interest post tax cost (LT money)		3.4%		Terminal growth			-1.0%				
Gearing (long term debt/ equity value)		20%									
WACC		8.0%									
Unlevered DCF (in USDm)											
Unlevered FCF		(29)	(1,350)	(996)	339	768	1,028	1,304	1,535	1,672	1,777
EV		11,675	12,642	15,008	17,209	18,253	18,952	19,447	19,706	19,754	19,670
Starting net debt (ex CBs)		(1,716)	(1,608)	(3,128)	(4,333)	(4,235)	(5,576)	(4,947)	(4,070)	(3,006)	(1,840)
Value of equity		9,959	11,034	11,880	12,876	14,019	13,376	14,500	15,636	16,748	17,830
Per share (HKD)		46.8	51.7	55.7	60.4	65.7	62.7	68.0	73.3	78.5	83.6
Per ADS (USD)		48.0	53.1	57.1	61.9	67.4	64.3	69.7	75.2	80.5	85.7
EV/EBITDA		14.9	14.1	13.4	12.2	10.9	10.1	9.2	8.5	8.0	7.5
DY at DCF value		0.0%	0.0%	0.0%	0.0%	1.0%	1.2%	1.5%	1.8%	2.0%	2.1%
PE at DCF value		17.7	117.4	96.4	41.2	25.5	20.2	17.2	14.2	12.8	12.0

Source : Deutsche Bank estimates



Guidance and strategy

Figure 5: Strategic priorities



Source : 2024 company presentation

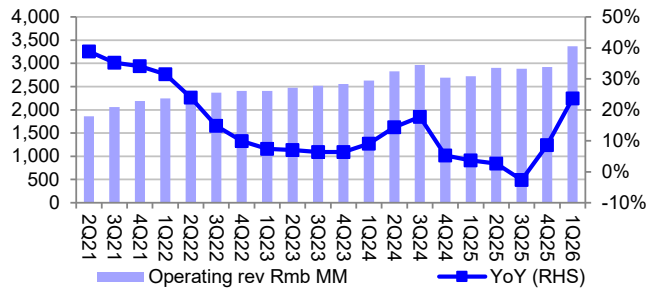
2026 guidance

- Revenue of CNY12,400m-12,900m (up 8.5-12.8%)
- Adjusted EBITDA of CNY5,750m-6,000m (up 6.4-11.0%)
- Capex of CNY9,000m



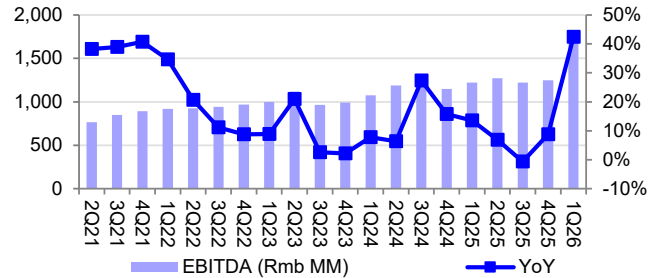
Quarterly charts

Figure 6: Total revenue



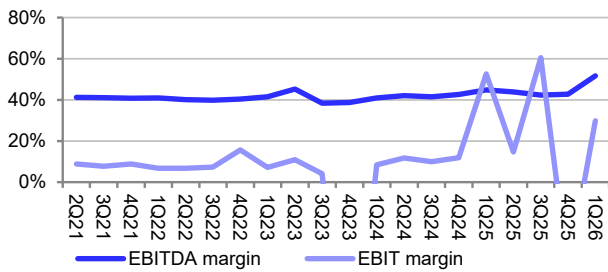
Source : Deutsche Bank, company data

Figure 7: EBITDA



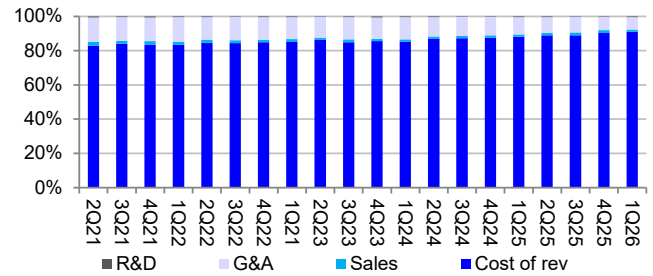
Source : Deutsche Bank, company data

Figure 8: EBITDA/EBIT margins



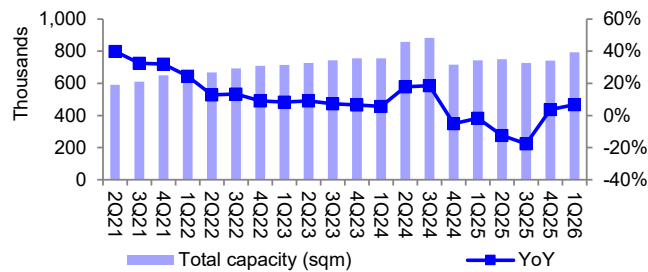
Source : Deutsche Bank, company data

Figure 9: Opex breakdown



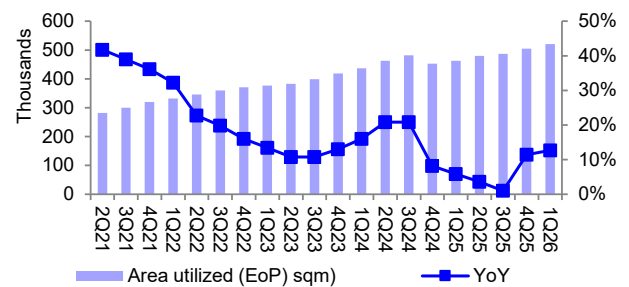
Source : Deutsche Bank, company data

Figure 10: Total capacity



Source : Deutsche Bank, company data

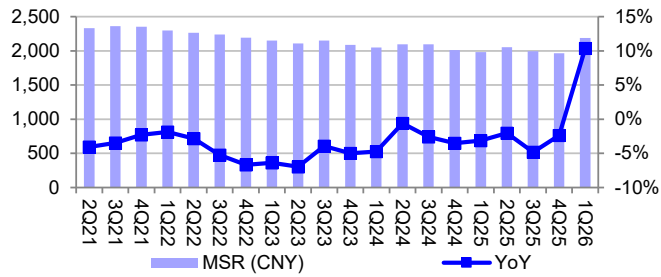
Figure 11: Area utilized



Source : Deutsche Bank, company data

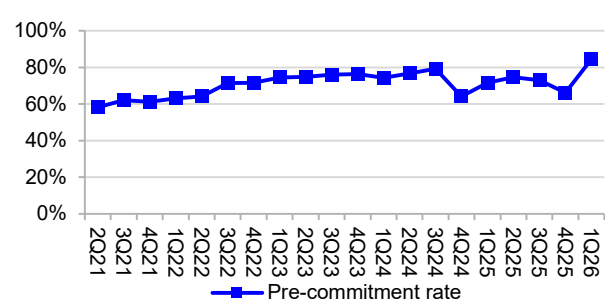


Figure 12: Monthly service revenue



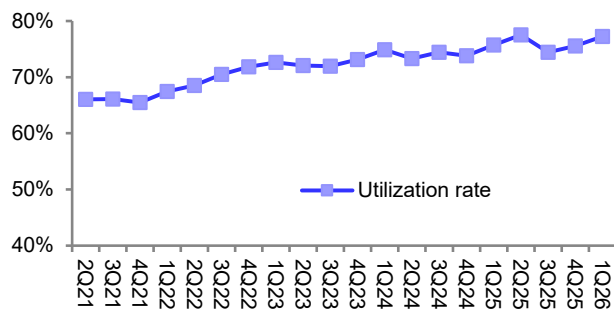
Source : Deutsche Bank, company data

Figure 13: Pre-commitment rates



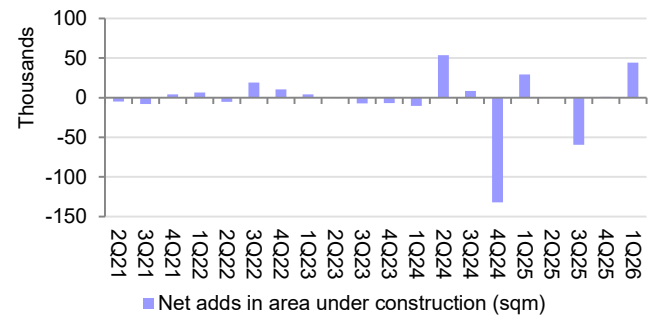
Source : Deutsche Bank, company data

Figure 14: Utilization rate



Source : Deutsche Bank, company data

Figure 15: Net adds in area under construction



Source : Deutsche Bank, company data

Acknowledgement

We would like to thank Sylvia Chen of Evalueserve for her help in preparing this report.



Model updated: 21 May 2026

Running the numbers

Asia
China
Software & Services

GDS Holdings Ltd

Reuters: GDS.OQ Bloomberg: GDS US

Buy

Price (20 May 26)	USD 36.66
Target Price	USD 50.00
52 Week range	USD 23.69 - 47.52
Market cap (m)	USDm 7,607.7 EURm 6,549.9

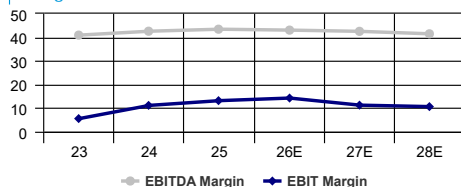
Company Profile

GDS is a leading independent developer and operator of data centers for the China market. It focuses on sites in the largest cities and serves hyperscale and other customers. It has a mixture of self-owned and leased sites and is starting to add data centers outside the mainland to support its customers' build outs.

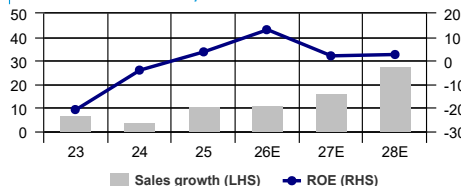
Price Performance



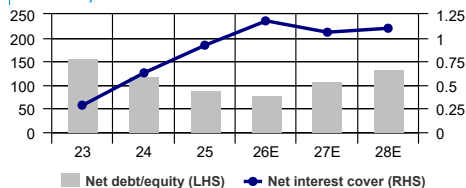
Margin Trends



Growth & Profitability



Solvency



Peter Milliken, CFA

+852 2203 6190

peter.milliken@db.com

Fiscal year end 31-Dec

Financial Summary

	2023	2024	2025	2026E	2027E	2028E
DB EPS (CNY)	-22.22	-4.51	-7.14	-5.61	-0.72	0.18
Reported EPS (CNY)	-22.22	-4.51	4.36	17.42	2.89	3.79
DPS (CNY)	0.00	0.00	0.00	0.00	0.00	0.00
BVPS (CNY)	101.1	120.2	135.7	154.7	157.8	162.0
Weighted average shares (m)	195	184	206	208	208	208
Average market cap (CNYm)	19,343	16,734	46,524	51,779	51,779	51,779
Enterprise value (CNYm)	49,772	43,821	71,575	76,083	86,739	95,182

Valuation Metrics

P/E (DB) (x)	nm	nm	nm	nm	nm	nm
P/E (Reported) (x)	nm	nm	52.0	14.3	86.3	65.9
P/BV (x)	0.64	1.42	1.85	1.61	1.58	1.54
FCF Yield (%)	nm	13.8	nm	nm	nm	nm
Dividend Yield (%)	0.0	0.0	0.0	0.0	0.0	0.0
EV/Sales (x)	5.0	4.2	6.3	6.0	5.9	5.0
EV/EBITDA (x)	12.2	10.0	14.4	13.9	13.8	12.1
EV/EBIT (x)	89.7	38.0	47.5	42.0	52.1	47.3

Income Statement (CNYm)

Sales revenue	9,957	10,322	11,432	12,711	14,797	18,892
Gross profit	5,442	5,466	6,045	6,632	7,642	9,556
EBITDA	4,074	4,395	4,965	5,471	6,292	7,836
Depreciation	3,520	3,243	3,459	3,658	4,626	5,825
Amortisation	0	0	0	0	0	0
EBIT	555	1,152	1,505	1,813	1,666	2,010
Net interest income/(expense)	-1,939	-1,835	-1,635	-1,538	-1,574	-1,827
Associates/affiliates	0	0	716	-41	111	229
Exceptionals/extraordinaries	0	0	2,364	4,780	750	750
Other pre-tax income/(expense)	-2,915	68	-1,522	1	1	1
Profit before tax	-4,300	-615	1,429	5,016	955	1,165
Income tax expense	-15	156	470	1,264	211	234
Minorities	5	6	10	10	10	10
Other post-tax income/(expense)	-54	-54	-54	-126	-133	-133
Net profit	-4,344	-831	895	3,615	601	788
DB adjustments (including dilution)	0	0	-2,364	-4,780	-750	-750
DB Net profit	-4,344	-831	-1,469	-1,165	-149	38

Cash Flow (CNYm)

Cash flow from operations	-278	5,314	3,196	7,484	5,723	5,172
Net Capex	-6,326	-3,009	-4,706	-8,940	-16,437	-13,627
Free cash flow	-6,603	2,305	-1,510	-1,456	-10,714	-8,455
Equity raised/(bought back)	0	0	0	0	0	0
Dividends paid	0	0	0	0	0	0
Net inc/(dec) in borrowings	4,454	-3,151	3,635	200	6,837	5,200
Other investing/financing cash flows	-1,713	-7,723	-3,266	103	58	11
Net cash flow	-3,862	-8,569	-1,141	-1,153	-3,819	-3,243
Change in working capital	646	-1,208	-1,056	325	629	-1,271

Balance Sheet (CNYm)

Cash and other liquid assets	7,711	7,868	14,306	15,262	11,454	8,220
Tangible fixed assets	47,499	40,204	38,054	43,451	55,394	63,366
Goodwill/intangible assets	7,765	6,367	5,461	5,461	5,461	5,461
Associates/investments	0	0	0	0	0	0
Other assets	11,471	19,209	22,178	23,549	25,264	27,772
Total assets	74,447	73,649	79,998	87,723	97,573	104,819
Interest bearing debt	37,975	34,824	38,459	38,659	45,496	50,696
Other liabilities	17,413	16,236	14,859	18,758	21,161	22,409
Total liabilities	55,388	51,061	53,318	57,418	66,657	73,105
Shareholders' equity	18,893	22,458	25,783	29,398	30,000	30,788
Minorities	166	130	897	907	917	927
Total shareholders' equity	19,059	22,588	26,680	30,305	30,916	31,714
Net debt	30,264	26,957	24,153	23,397	34,043	42,476

Key Company Metrics

Sales growth (%)	6.8	3.7	10.8	11.2	16.4	27.7
DB EPS growth (%)	-185.6	79.7	-58.5	21.4	87.3	na
EBITDA Margin (%)	40.9	42.6	43.4	43.0	42.5	41.5
EBIT Margin (%)	5.6	11.2	13.2	14.3	11.3	10.6
Payout ratio (%)	nm	nm	0.0	0.0	0.0	0.0
ROE (%)	-20.7	-4.0	3.7	13.1	2.0	2.6
Capex/sales (%)	63.5	29.2	41.2	70.3	111.1	72.1
Capex/depreciation (x)	1.8	0.9	1.4	2.4	3.6	2.3
Net debt/equity (%)	158.8	119.3	90.5	77.2	110.1	133.9
Net interest cover (x)	0.3	0.6	0.9	1.2	1.1	1.1

Source: Company data, Deutsche Bank estimates



Appendix 1

Important Disclosures

*Other information available upon request

Disclosure checklist			
Company	Ticker	Recent price*	Disclosure
GDS Holdings Ltd	GDS.OQ	36.66 (USD) 20 May 2026	NA

*Prices are current as of the end of the previous trading session unless otherwise indicated and are sourced from local exchanges via Reuters, Bloomberg and other vendors. Other information is sourced from Deutsche Bank, subject companies, and other sources. For disclosures pertaining to recommendations or estimates made on securities other than the primary subject of this research, please see the most recently published company report or visit our global disclosure look-up page on our website at <https://research.db.com/Research/Disclosures/EquityResearchDisclosures>. Aside from within this report, important risk and conflict disclosures can also be found at <https://research.db.com/Research/Disclosures/Disclaimer>. Investors are strongly encouraged to review this information before investing.

Important Disclosures Required by U.S. Regulators

Disclosures marked with an asterisk may also be required by at least one jurisdiction in addition to the United States. See Important Disclosures Required by Non-US Regulators and Explanatory Notes.

Important Disclosures Required by Non-U.S. Regulators

Disclosures marked with an asterisk may also be required by at least one jurisdiction in addition to the United States. See Important Disclosures Required by Non-US Regulators and Explanatory Notes.

For disclosures pertaining to recommendations or estimates made on securities other than the primary subject of this research, please see the most recently published company report or visit our global disclosure look-up page on our website at <https://research.db.com/Research/Disclosures/EquityResearchDisclosures>. Aside from within this report, important risk and conflict disclosures can also be found at <https://research.db.com/Research/Disclosures/Disclaimer>. Investors are strongly encouraged to review this information before investing.

Analyst Certification

The views expressed in this report accurately reflect the personal views of the undersigned lead analyst(s) about the subject issuer and the securities of the issuer. In addition, the undersigned lead analyst(s) has not and will not receive any compensation for providing a specific recommendation or view in this report. Peter Milliken.



Historical recommendations and target price: GDS Holdings Ltd (GDS.OO)

(as of 05/20/2026)



Current Recommendations

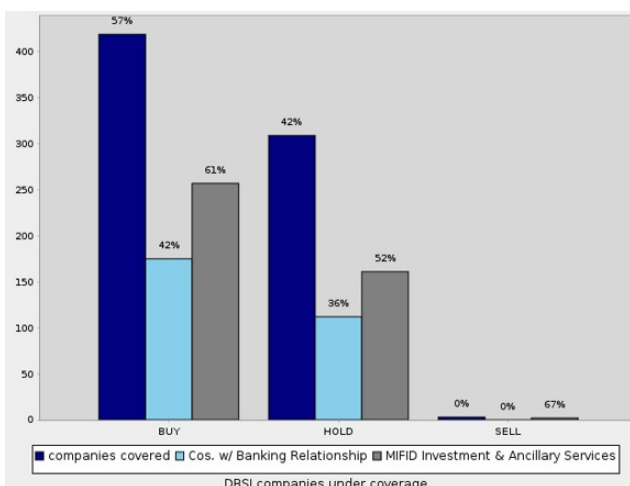
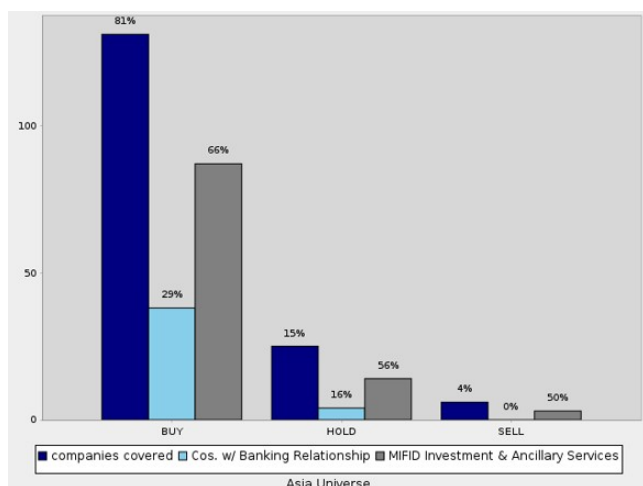
Buy
Hold
Sell
Not Rated
Suspended Rating

** Analyst is no longer at Deutsche Bank

1.	05/23/2024	Buy, Target Price Change USD 14.00, Current Price USD 7.81 Peter Milliken, CFA	4.	03/20/2025	Buy, Target Price Change USD 38.00, Current Price USD 28.62 Peter Milliken, CFA
2.	08/22/2024	Buy, Target Price Change USD 17.00, Current Price USD 16.30 Peter Milliken, CFA	5.	08/21/2025	Buy, Target Price Change USD 40.00, Current Price USD 32.00 Peter Milliken, CFA
3.	11/20/2024	Buy, Target Price Change USD 26.00, Current Price USD 18.57 Peter Milliken, CFA	6.	03/18/2026	Buy, Target Price Change USD 48.00, Current Price USD 44.49 Peter Milliken, CFA



Equity rating dispersion and banking relationships



Equity Rating and Dispersion Key

The Equity Rating Dispersion Chart depicts the following:

The proportion of recommendations that are rated "buy", "sell" and "hold" over the previous 12 months. This is shown for securities issued in the stated region e.g. "Europe Universe". See rating definitions below. This is represented by the "Companies Covered" bars in the chart. The percentage value displayed above the bar is the proportion as a percentage. E.g. 50% above the "buy" / "Companies Covered" bar means that 50% of DB's equity research covered companies over the past 12 months have a "buy" rating.

Next to each of the three respective bars showing the proportion of "buy", "sell" and "hold" recommendations we provide two additional bars to show:

- The proportion of "buy", "sell" or "hold" recommendations where Deutsche Bank and/or Affiliates provided MIFID Investment or Ancillary Services in the past 12 months. This is represented in the "MIFID Investment and Ancillary Services" bar. The percentage value displayed above the bar shows the proportion of Companies Covered with the given rating where DB has also provided MIFID Investment and Ancillary Services in the past 12 months. E.g. 50% above the "Cos. w/ MIFID Investment and Ancillary Services" bar means 50% of the Companies Covered with the rating stated have also received MIFID Investment and Ancillary Services from DB.

- The proportion of "buy" (or "sell" or "hold") recommendations where Deutsche Bank and/or Affiliates has provided Investment Banking services in the past 12 months for which it has received compensation. The percentage value displayed above the bar shows the proportion of Companies Covered with the stated rating where DB has also provided Investment Banking services in the past 12 months. E.g. 50% above the "Cos. w/ Investment Banking relationship" bar means 50% of the Companies Covered with the rating stated also have an Investment Banking Relationship with DB.

Buy: Based on a current 12-month view of TSR, we recommend that investors buy the stock.

Sell: Based on a current 12-month view of TSR, we recommend that investors sell the stock.

Hold: We take a neutral view on the stock 12-months out and, based on this time horizon, do not recommend either a Buy or Sell.

TSR = Total Shareholder Return. Percentage change in share price from current price to projected target price plus projected dividend yield

Newly issued research recommendations and target prices supersede previously published research.



Additional Information

The information and opinions in this report were prepared by Deutsche Bank AG or one of its affiliates (collectively 'Deutsche Bank'). Though the information herein is believed to be reliable and has been obtained from public sources believed to be reliable, Deutsche Bank makes no representation as to its accuracy or completeness. Hyperlinks to third-party websites in this report are provided for reader convenience only. Deutsche Bank neither endorses the content nor is responsible for the accuracy or security controls of those websites.

If you use the services of Deutsche Bank in connection with a purchase or sale of a security that is discussed in this report, or is included or discussed in another communication (oral or written) from a Deutsche Bank analyst, Deutsche Bank may act as principal for its own account or as agent for another person.

Deutsche Bank may consider this report in deciding to trade as principal. It may also engage in transactions, for its own account or with customers, in a manner inconsistent with the views taken in this research report. Others within Deutsche Bank, including strategists, sales staff and other analysts, may take views that are inconsistent with those taken in this research report. Deutsche Bank issues a variety of research products, including fundamental analysis, equity-linked analysis, quantitative analysis and trade ideas. Recommendations contained in one type of communication may differ from recommendations contained in others, whether as a result of differing time horizons, methodologies, perspectives or otherwise. Deutsche Bank and/or its affiliates may also be holding debt or equity securities of the issuers it writes on. Analysts are paid in part based on the profitability of Deutsche Bank AG and its affiliates, which includes investment banking, trading and principal trading revenues.

Opinions, estimates and projections constitute the current judgment of the author as of the date of this report. They do not necessarily reflect the opinions of Deutsche Bank and are subject to change without notice. Deutsche Bank provides liquidity for buyers and sellers of securities issued by the companies it covers. Deutsche Bank research analysts sometimes have shorter-term trade ideas that may be inconsistent with Deutsche Bank's existing longer-term ratings. Some trade ideas for equities are listed as Catalyst Calls on the Research Website (<https://research.db.com/Research/>), and can be found on the general coverage list and also on the covered company's page. A Catalyst Call represents a high-conviction belief by an analyst that a stock will outperform or underperform the market and/or a specified sector over a time frame of no less than two weeks and no more than three months. In addition to Catalyst Calls, analysts may occasionally discuss with our clients, and with Deutsche Bank salespersons and traders, trading strategies or ideas that reference catalysts or events that may have a near-term or medium-term impact on the market price of the securities discussed in this report, which impact may be directionally counter to the analysts' current 12-month view of total return or investment return as described herein. Deutsche Bank has no obligation to update, modify or amend this report or to otherwise notify a recipient thereof if an opinion, forecast or estimate changes or becomes inaccurate. Coverage and the frequency of changes in market conditions and in both general and company-specific economic prospects make it difficult to update research at defined intervals. Updates are at the sole discretion of the coverage analyst or of the Research Department Management, and the majority of reports are published at irregular intervals. This report is provided for informational purposes only and does not take into account the particular investment objectives, financial situations, or needs of individual clients. It is not an offer or a solicitation of an offer to buy or sell any financial instruments or to participate in any particular trading strategy. Target prices are inherently imprecise and a product of the analyst's judgment. The financial instruments discussed in this report may not be suitable for all investors, and investors must make their own informed investment decisions. Prices and availability of financial instruments are subject to change without notice, and investment transactions can lead to losses as a result of price fluctuations and other factors. If a financial instrument is denominated in a currency other than an investor's currency, a change in exchange rates may adversely affect the investment. Past performance is not necessarily indicative of future results. Performance calculations exclude transaction costs, unless otherwise indicated. Unless otherwise indicated, prices are current as of the end of the previous trading session and are sourced from local exchanges via Reuters, Bloomberg and other vendors. Data is also sourced from Deutsche Bank, subject companies, and other parties. Artificial intelligence tools may be used in the preparation of this material, including but not limited to assist in fact-finding, data analysis, pattern recognition, content drafting and editorial corrections pertaining to research material.

The Deutsche Bank Research Department is independent of other business divisions of the Bank. Details regarding our organizational arrangements and information barriers we have to prevent and avoid conflicts of interest with respect to our research are available on our website (<https://research.db.com/Research/>) under Disclaimer.

Macroeconomic fluctuations often account for most of the risks associated with exposures to instruments that promise to pay fixed or variable interest rates. For an investor who is long fixed-rate instruments (thus receiving these cash flows), increases in interest rates naturally lift the discount factors applied to the expected cash flows and thus cause a loss. The longer the maturity of a certain cash flow and the higher the move in the discount factor, the higher will be the loss. Upside surprises in inflation, fiscal funding needs, and FX depreciation rates are among the most common adverse macroeconomic shocks to receivers. But counterparty exposure, issuer creditworthiness, client segmentation, regulation (including changes in assets holding limits for different types of investors), changes in tax policies, currency convertibility (which may constrain currency conversion, repatriation of profits and/or liquidation of positions), and settlement issues related to local clearing houses are also important risk factors. The sensitivity of fixed-income instruments to macroeconomic shocks may be mitigated by indexing the contracted cash flows to inflation, to FX depreciation, or to specified interest rates - these are common in emerging markets. The index fixings may - by construction - lag or mis-measure the actual move in the underlying variables they are intended to track. The choice of the proper fixing (or metric) is particularly important in swaps markets, where floating coupon rates (i.e., coupons indexed to a typically short-dated interest rate reference index) are exchanged for fixed coupons. Funding in a currency that differs from the currency in which coupons are denominated carries FX risk. Options on swaps (swaptions) the risks typical to options in addition to the risks related to rates movements.



Derivative transactions involve numerous risks including market, counterparty default and illiquidity risk. The appropriateness of these products for use by investors depends on the investors' own circumstances, including their tax position, their regulatory environment and the nature of their other assets and liabilities; as such, investors should take expert legal and financial advice before entering into any transaction similar to or inspired by the contents of this publication. The risk of loss in futures trading and options, foreign or domestic, can be substantial. As a result of the high degree of leverage obtainable in futures and options trading, losses may be incurred that are greater than the amount of funds initially deposited - up to theoretically unlimited losses. Trading in options involves risk and is not suitable for all investors. Prior to buying or selling an option, investors must review the 'Characteristics and Risks of Standardized Options', at <https://www.theocc.com/company-information/documents-and-archives/options-disclosure-document>. If you are unable to access the website, please contact your Deutsche Bank representative for a copy of this important document.

Participants in foreign exchange transactions may incur risks arising from several factors, including the following: (i) exchange rates can be volatile and are subject to large fluctuations; (ii) the value of currencies may be affected by numerous market factors, including world and national economic, political and regulatory events, events in equity and debt markets and changes in interest rates; and (iii) currencies may be subject to devaluation or government-imposed exchange controls, which could affect the value of the currency. Investors in securities such as ADRs, whose values are affected by the currency of an underlying security, effectively assume currency risk.

Unless governing law provides otherwise, all transactions should be executed through the Deutsche Bank entity in the investor's home jurisdiction. Aside from within this report, important conflict disclosures can also be found at <https://research.db.com/Research/> on each company's research page or under the 'Disclosures' tab. Investors are strongly encouraged to review this information before investing.

Deutsche Bank (which includes Deutsche Bank AG, its branches and affiliated companies) is not acting as a financial adviser, consultant or fiduciary to you or any of your agents (collectively, "You" or "Your") with respect to any information provided in this report. Deutsche Bank does not provide investment, legal, tax or accounting advice, Deutsche Bank is not acting as your impartial adviser, and does not express any opinion or recommendation whatsoever as to any strategies, products or any other information presented in the materials. Information contained herein is being provided solely on the basis that the recipient will make an independent assessment of the merits of any investment decision, and it does not constitute a recommendation of, or express an opinion on, any product or service or any trading strategy.

The information presented is general in nature and is not directed to retirement accounts or any specific person or account type, and is therefore provided to You on the express basis that it is not advice, and You may not rely upon it in making Your decision. The information we provide is being directed only to persons we believe to be financially sophisticated, who are capable of evaluating investment risks independently, both in general and with regard to particular transactions and investment strategies, and who understand that Deutsche Bank has financial interests in the offering of its products and services. If this is not the case, or if You are an IRA or other retail investor receiving this directly from us, we ask that you inform us immediately.

In July 2018, Deutsche Bank revised its rating system for short term ideas whereby the branding has been changed to Catalyst Calls ("CC") from SOLAR ideas; the rating categories for Catalyst Calls originated in the Americas region have been made consistent with the categories used by Analysts globally; and the effective time period for CCs has been reduced from a maximum of 180 days to 90 days.

United States: Approved and/or distributed by Deutsche Bank Securities Incorporated, a member of FINRA and SIPC. Analysts located outside of the United States are employed by non-US affiliates and are not registered/qualified as research analysts with FINRA.

European Economic Area (exc. United Kingdom): Approved and/or distributed by Deutsche Bank AG, a joint stock corporation with limited liability incorporated in the Federal Republic of Germany with its principal office in Frankfurt am Main. Deutsche Bank AG is authorized under German Banking Law and is subject to supervision by the European Central Bank and by BaFin, Germany's Federal Financial Supervisory Authority.

United Kingdom: Approved and/or distributed by Deutsche Bank AG acting through its London Branch at 21 Moorfields, London EC2Y 9DB. Deutsche Bank AG in the United Kingdom is authorised by the Prudential Regulation Authority and is subject to limited regulation by the Prudential Regulation Authority and Financial Conduct Authority. Details about the extent of our authorisation and regulation are available on request.

Hong Kong SAR: Distributed by Deutsche Bank AG, Hong Kong Branch except for any research content relating to futures contracts within the meaning of the Hong Kong Securities and Futures Ordinance Cap. 571. Research reports on such futures contracts are not intended for access by persons who are located, incorporated, constituted or resident in Hong Kong. The author(s) of a research report may not be licensed to carry on regulated activities in Hong Kong and, if not licensed, do not hold themselves out as being able to do so. The provisions set out above in the 'Additional Information' section shall apply to the fullest extent permissible by local laws and regulations, including without limitation the Code of Conduct for Persons Licensed or Registered with the Securities and Futures Commission. This report is intended for distribution only to 'professional investors' as defined in Part 1 of Schedule of the SFO. This document must not be acted or relied on by persons who are not professional investors. Any investment or investment activity to which this document relates is only available to professional investors and will be engaged only with professional investors.

India: Prepared by Deutsche Equities India Private Limited (DEIPL) having CIN: U65990MH2002PTC137431 and registered



office at 14th Floor, The Capital, C-70, G Block, Bandra Kurla Complex, Mumbai (India) 400051. Tel: + 91 22 7180 4444. It is registered by the Securities and Exchange Board of India (SEBI) as a Stock broker bearing registration no.: INZ000252437; Merchant Banker bearing SEBI Registration no.: INM000010833 and Research Analyst bearing SEBI Registration no.: INH0000001741. DEIPL's Compliance / Grievance officer is Ms. Rashmi Poddar (Tel: +91 22 7180 4929 email ID: complaints.deipl@db.com). Registration granted by SEBI and certification from NISM in no way guarantee performance of DEIPL or provide any assurance of returns to investors. Investment in securities market are subject to market risks. Read all the related documents carefully before investing. DEIPL may have received administrative warnings from the SEBI for breaches of Indian regulations. Deutsche Bank and/or its affiliate(s) may have debt holdings or positions in the subject company. With regard to information on associates, please refer to the "Shareholdings" section in the Annual Report at: <https://www.db.com/ir/en/annual-reports.htm>. For latest India research audit report, refer https://country.db.com/india/deutsche-equities-india/index?language_id=1.

Japan: Approved and/or distributed by Deutsche Securities Inc.(DSI). Registration number - Registered as a financial instruments dealer by the Head of the Kanto Local Finance Bureau (Kinsho) No. 117. Member of associations: JSDA, Type II Financial Instruments Firms Association and The Financial Futures Association of Japan. Commissions and risks involved in stock transactions - for stock transactions, we charge stock commissions and consumption tax by multiplying the transaction amount by the commission rate agreed with each customer. Stock transactions can lead to losses as a result of share price fluctuations and other factors. Transactions in foreign stocks can lead to additional losses stemming from foreign exchange fluctuations. We may also charge commissions and fees for certain categories of investment advice, products and services. Recommended investment strategies, products and services carry the risk of losses to principal and other losses as a result of changes in market and/or economic trends, and/or fluctuations in market value. Before deciding on the purchase of financial products and/or services, customers should carefully read the relevant disclosures, prospectuses and other documentation. 'Moody's', 'Standard Poor's', and 'Fitch' mentioned in this report are not registered credit rating agencies in Japan unless Japan or 'Nippon' is specifically designated in the name of the entity. Reports on Japanese listed companies not written by analysts of DSI are written by Deutsche Bank Group's analysts with the coverage companies specified by DSI. Some of the foreign securities stated on this report are not disclosed according to the Financial Instruments and Exchange Law of Japan. Target prices set by Deutsche Bank's equity analysts are based on a 12-month forecast period.

Korea: Distributed by Deutsche Securities Korea Co.

South Africa: Deutsche Bank AG Johannesburg is incorporated in the Federal Republic of Germany (Branch Register Number in South Africa: 1998/003298/10).

Singapore: This report is issued by Deutsche Bank AG, Singapore Branch (One Raffles Quay #18-00 South Tower Singapore 048583, 65 6423 8001), which may be contacted in respect of any matters arising from, or in connection with, this report. Where this report is issued or promulgated by Deutsche Bank in Singapore to a person who is not an accredited investor, expert investor or institutional investor (as defined in the applicable Singapore laws and regulations), they accept legal responsibility to such person for its contents.

Taiwan: Information on securities/investments that trade in Taiwan is for your reference only. Readers should independently evaluate investment risks and are solely responsible for their investment decisions. Deutsche Bank research may not be distributed to the Taiwan public media or quoted or used by the Taiwan public media without written consent. Information on securities/instruments that do not trade in Taiwan is for informational purposes only and is not to be construed as a recommendation to trade in such securities/instruments.

Qatar: Deutsche Bank AG in the Qatar Financial Centre (registered no. 00032) is regulated by the Qatar Financial Centre Regulatory Authority. Deutsche Bank AG - QFC Branch may undertake only the financial services activities that fall within the scope of its existing QFCRA license. Its principal place of business in the QFC: Qatar Financial Centre, Tower, West Bay, Level 5, PO Box 14928, Doha, Qatar. This information has been distributed by Deutsche Bank AG. Related financial products or services are only available only to Business Customers, as defined by the Qatar Financial Centre Regulatory Authority.

Russia: The information, interpretation and opinions submitted herein are not in the context of, and do not constitute, any appraisal or evaluation activity requiring a license in the Russian Federation.

Kingdom of Saudi Arabia: Deutsche Securities Saudi Arabia (DSSA) is a closed joint stock company authorized by the Capital Market Authority of the Kingdom of Saudi Arabia with a license number (No. 37-07073) to conduct the following business activities: Dealing, Arranging, Advising, and Custody activities. DSSA registered office is Faisaliah Tower, 17th Floor, King Fahad Road - Al Olaya District Riyadh, Kingdom of Saudi Arabia P.O. Box 301806.

United Arab Emirates: Deutsche Bank AG in the Dubai International Financial Centre (registered no. 00045) is regulated by the Dubai Financial Services Authority. Deutsche Bank AG - DIFC Branch may only undertake the financial services activities that fall within the scope of its existing DFSA license. Principal place of business in the DIFC: Dubai International Financial Centre, The Gate Village, Building 5, PO Box 504902, Dubai, U.A.E. This information has been distributed by Deutsche Bank AG. Related financial products or services are available only to Professional Clients, as defined by the Dubai Financial Services Authority.

Australia and New Zealand: This research is intended only for 'wholesale clients' within the meaning of the Australian Corporations Act and New Zealand Financial Advisors Act, respectively. Please refer to Australia-specific research disclosures and related information at https://www.dbresearch.com/PROD/RPS_EN-PROD/PROD0000000000521304.xhtml. Where



research refers to any particular financial product recipients of the research should consider any product disclosure statement, prospectus or other applicable disclosure document before making any decision about whether to acquire the product. In preparing this report, the primary analyst or an individual who assisted in the preparation of this report has likely been in contact with the company that is the subject of this research for confirmation/clarification of data, facts, statements, permission to use company-sourced material in the report, and/or site-visit attendance. Without prior approval from Research Management, analysts may not accept from current or potential Banking clients the costs of travel, accommodations, or other expenses incurred by analysts attending site visits, conferences, social events, and the like. Similarly, without prior approval from Research Management and Anti-Bribery and Corruption ("ABC") team, analysts may not accept perks or other items of value for their personal use from issuers they cover.

Additional information relative to securities, other financial products or issuers discussed in this report is available upon request. This report may not be reproduced, distributed or published without Deutsche Bank's prior written consent.

Backtested, hypothetical or simulated performance results have inherent limitations. Unlike an actual performance record based on trading actual client portfolios, simulated results are achieved by means of the retroactive application of a backtested model itself designed with the benefit of hindsight. Taking into account historical events the backtesting of performance also differs from actual account performance because an actual investment strategy may be adjusted any time, for any reason, including a response to material, economic or market factors. The backtested performance includes hypothetical results that do not reflect the reinvestment of dividends and other earnings or the deduction of advisory fees, brokerage or other commissions, and any other expenses that a client would have paid or actually paid. No representation is made that any trading strategy or account will or is likely to achieve profits or losses similar to those shown. Alternative modeling techniques or assumptions might produce significantly different results and prove to be more appropriate. Past hypothetical backtest results are neither an indicator nor guarantee of future returns. Actual results will vary, perhaps materially, from the analysis.

The method for computing individual E,S,G and composite ESG scores set forth herein is a novel method developed by the Research department within Deutsche Bank AG, computed using a systematic approach without human intervention. Different data providers, market sectors and geographies approach ESG analysis and incorporate the findings in a variety of ways. As such, the ESG scores referred to herein may differ from equivalent ratings developed and implemented by other ESG data providers in the market and may also differ from equivalent ratings developed and implemented by other divisions within the Deutsche Bank Group. Such ESG scores also differ from other ratings and rankings that have historically been applied in research reports published by Deutsche Bank AG. Further, such ESG scores do not represent a formal or official view of Deutsche Bank AG. It should be noted that the decision to incorporate ESG factors into any investment strategy may inhibit the ability to participate in certain investment opportunities that otherwise would be consistent with your investment objective and other principal investment strategies. The returns on a portfolio consisting primarily of sustainable investments may be lower or higher than portfolios where ESG factors, exclusions, or other sustainability issues are not considered, and the investment opportunities available to such portfolios may differ. Companies may not necessarily meet high performance standards on all aspects of ESG or sustainable investing issues; there is also no guarantee that any company will meet expectations in connection with corporate responsibility, sustainability, and/or impact performance.

Copyright © 2026 Deutsche Bank AG



David Folkerts-Landau

Group Chief Economist and Global Head of Research

Pam Finelli
Global Chief Operating Officer
Research

Steve Pollard
Global Head of Company
Research and Sales

Jim Reid
Global Head of
Macro and Thematic Research

Tim Rokossa
Head of Germany
Research

Gerry Gallagher
Head of European
Company Research

Matthew Barnard
Head of Americas
Company Research

Peter Milliken
Head of APAC
Company Research

Debbie Jones
Global Head of Sustainability
and Data Innovation, Research

Sameer Goel
Global Head of EM & APAC
Research

Francis Yared
Global Head of Rates Research

George Saravelos
Global Head of FX Research

Peter Hooper
Vice-Chair of Research

International Production Locations

Deutsche Bank AG

Deutsche Bank Place
Level 16
Corner of Hunter & Phillip
Streets
Sydney, NSW 2000
Australia
Tel: (61) 2 8258 1234

Deutsche Bank AG

Equity Research
Mainzer Landstrasse 11-17
60329 Frankfurt am Main
Germany
Tel: (49) 69 910 00

Deutsche Bank AG

Filiale Hongkong
International Commerce
Centre,
1 Austin Road West, Kowloon,
Hong Kong
Tel: (852) 2203 8888

Deutsche Securities Inc.

1-3-1 Azabudai
Azabudai Hills Mori JP Tower
Minato-ku, Tokyo 106-0041
Japan
Tel: (81) 3 6730 1000

Deutsche Bank AG

21 Moorfields
London EC2Y 9DB
United Kingdom
Tel: (44) 20 7545 8000

Deutsche Bank Securities Inc.

The Deutsche Bank Center
1 Columbus Circle
New York, NY 10019
Tel: (1) 212 250 2500

Deutsche Bank AG

Filiale Singapur
One Raffles Quay, South
Tower,
Singapore 048583
Tel: +65 6423 8001